CDM | COMMON DOMAIN MODEL

The Common Domain Model

What it is, what it is not, and frequently asked questions

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FROM THE CDM STEERING WORKING GROUP

What CDM is — and what it is not

What CDM is	What CDM is not
✓ **A canonical model for financial products and events** CDM provides a shared, industry-maintained representation of financial products and the events that occur across their lifecycle.	✕ **Not limited to OTC derivatives** While CDM originated in OTC derivatives, it is not restricted to any single asset class or market segment.
✓ **Machine-executable by design** CDM is deliberately expressed through executable technology, enabling consistent implementation, automation, and interoperability across firms and infrastructures.	✕ **Not just a conceptual data model** CDM goes beyond abstract definitions by embedding behaviour and lifecycle logic, delivered through executable technology.
✓ **A foundation for interoperability** By aligning firms on common definitions and behaviour, CDM supports consistent processing, reporting, and integration across the market.	✕ **Not a single vendor solution or platform** CDM is an open, vendor-neutral standard. It does not prescribe specific systems, architectures, or technology stacks.
✓ **Lifecycle-spanning** CDM is designed to support activity across the lifecycle of financial products — from pre-trade through execution and post-trade — recognising that these phases increasingly overlap in practice.	✕ **Not a workflow or messaging protocol** CDM does not replace OMS/EMS platforms, RFQ protocols, or messaging standards. It provides a common semantic and behavioural foundation that such systems may use.
✓ **A governed industry standard** What constitutes “core CDM” is determined through open, community-led governance to ensure consistency, quality, and long-term stability.	✕ **Not everything that can be built with CDM** While firms can use CDM to model a wide range of workflows internally, not all CDM-based implementations become part of the CDM standard. Inclusion in core CDM is determined through governance.

What CDM is	What CDM is not
✓ **Extensible by design** CDM is built as a generic framework that can be extended to support new products, activities, and use cases as market practice evolves.	× **Not static or finished** CDM is intentionally evolving. Its scope and capabilities grow over time, guided by industry priorities and adoption.

Frequently asked questions

01 What is the Common Domain Model (CDM)?

The CDM is a canonical, machine-executable model for representing financial products and the events that occur across their lifecycle. It provides a shared foundation to support consistency, automation, and interoperability across the industry.

02 Why was CDM created?

CDM was created to address fragmentation in how financial products and lifecycle events are represented and processed. By aligning the industry on common definitions and behaviour, CDM helps reduce complexity, risk, and cost.

03 Is CDM just a data model?

No. While CDM is a model at its core, it is deliberately delivered through executable technology. This enables consistent behaviour and outcomes, not just shared terminology.

04 Which products are in scope for CDM?

CDM applies to financial products broadly. Although it originated in OTC derivatives, it is not limited to any single asset class and is designed to support additional products over time.

05 Which activities does CDM cover?

CDM spans activity across the lifecycle of financial products, from pre-trade through execution and post-trade. It reflects the reality that these stages increasingly overlap in modern market practice.

06 Does CDM replace existing systems or protocols?

No. CDM is not a trading system, workflow engine, or messaging protocol. It provides a common semantic and behavioural foundation that existing systems and standards can use.

07 Can firms extend CDM for their own use?

Yes. CDM is extensible by design, and firms may adapt or extend it for internal workflows. However, extensions do not automatically become part of the CDM standard.

08 Who decides what becomes part of CDM?

Core CDM functionality is determined through open, community-led governance, ensuring consistency, quality, and interoperability across the industry.

09 Is CDM finished?

No. CDM is intentionally evolving, with its scope and capabilities expanding over time based on industry priorities and adoption.

10 What does “predictable” evolution of CDM mean?

Predictability refers to governed change, advance visibility of the roadmap, and managed release processes, rather than a guarantee of backward compatibility.